

25STCV09594 25STCV09594

County: los-angeles

Division: Civil Law and Motion

Department: 413

Hearing date: 2026-08-28

Source URL:

https://www.lacourt.ca.gov/tentativeRulingNet/ui/main.aspx?casetype=civil&dept_date=LAM%2C413%2C08%2F28%2F2026

Source SHA-256: 630c8ca2e8b05aba087cf90d3b39e5c979c88cd32217e206cab40c0c763d9d73

Case Number: 25STCV09594 Hearing Date: August 28, 2026 Dept: 413

TENTATIVE RULING

HEARING DATE: 08/28/2026

CASE NUMBER: ROBEN OLMEDO vs FORD MOTOR
COMPANY, et al.

CASE NAME: 25STCV09594

MOVING PARTY: Defendant Ford Motor Company

OPPOSING PARTY: Ruben Olmedo

PROCEEDING: demurrer TO FIRST AMENDED COMPLAINT

RULING SUMMARY: Defendant Ford Motor Company's Demurrer
to the Sixth Cause of Action in Plaintiff Roben Olmedo's First Amended
Complaint is overruled.

Defendant Ford Motor Company is to file
an Answer within ten days of this Ruling.

The Court continues the Case Management Conference to _____, 2026,
at 8:30AM, and sets an Order to Show Cause Re: Answer as to Ford and as to
Sunland for the same date and time.

Background

On

March 28, 2026, plaintiff Ruben Olmedo ("Plaintiff") filed his Complaint against defendants Ford Motor Company ("Ford") and Sunland Ford Inc. ("Sunland" and, collectively, "Defendants"). On

October 30, 2025, Plaintiff filed his First Amended Complaint ("FAC") against Defendants, alleging causes of action for (1) Violation of Subdivision (d) of Civ. Code § 1793.2 against Ford; (2) Violation of Subdivision (b) of Civ. Code § 1793.2 against Ford; (3) Violation of Subdivision (a)(3) of Civ. Code Section § 1793.2 against Ford; (4) Breach of the Implied Warranty of Merchantability (Civ. Code §§ 1791.1, 1794, 1795.5) against Ford; (5) Negligent Repair against Sunland; and (6) Fraudulent Inducement – Concealment against Ford.

Plaintiff

alleges that on or about February 25, 2021, Plaintiff entered into a warranty contract with Ford regarding a 2020 Ford Escape with vehicle identification number 1FMCU9BZ3LUC30643 (the "Subject Vehicle"), manufactured and/or distributed by Ford; the warranty contract included various warranties; defects and nonconformities to the warranty manifested themselves within the applicable express warranty period, including but not limited to an engine defect; Ford had a duty to promptly offer to repurchase or replace the Subject Vehicle at the time it failed to conform the Subject Vehicle to the terms of the express warranty after a reasonable number of repair attempts; and Ford did not do so. Regarding Sunland, Plaintiff alleges a theory of negligent repair.

On December

02, 2025, Ford filed this Demurrer. On February 11, 2026, Plaintiff filed his Opposition. On March 23, 2026, Sunland filed its Answer. No Reply has been filed.

MEET

AND CONFER

Before filing a demurrer or motion to strike, the moving party is required to meet and confer with the party who filed the pleading demurred to, in person or telephonically, to determine whether an agreement can be reached through a filing of an amended pleading that would resolve the objections to be raised in the demurrer. (Code Civ. Proc. §§ 430.41, 435.5.)

The meet and confer requirement has been met. (Decl. Matthew

D. Barzman ¶¶ 5-6.)

LEGAL STANDARD

A.

Demurrer

A demurrer is an objection to a pleading, the grounds for which are apparent from either the face of the complaint or a matter of which the court may take judicial notice. (Code Civ. Proc. § 430.30(a); Blank v. Kirwan (1985) 39 Cal.3d 311, 318.) “To survive a demurrer, the complaint need only allege facts sufficient to state a cause of action; each evidentiary fact that might eventually form part of the plaintiff’s proof need not be alleged.” (C.A. v. William S. Hart Union High School Dist. (2012) 53 Cal.4th 861, 872.) For the purpose of testing the sufficiency of the cause of action, the demurrer admits the truth of all material facts properly pleaded. (Aubry v. Tri-City Hospital Dist. (1992) 2 Cal.4th 962, 966-967.) A demurrer “does not admit contentions, deductions or conclusions of fact or law.” (Daar v. Yellow Cab Co. (1967) 67 Cal.2d 695, 713.)

B.

Leave to Amend

“Where the defect raised by a motion to strike or by demurrer is reasonably capable of cure, leave to amend is routinely and liberally granted to give the plaintiff a chance to cure the defect in question.” (CLD Construction, Inc. v. City of San Ramon (2004) 120 Cal.App.4th 1141, 1146.) “A trial court does not abuse its discretion when it sustains a demurrer without leave to amend if either (a) the facts and the nature of the claims are clear and no liability exists, or (b) it is probable from the nature of the defects and previous unsuccessful attempts to plead that the plaintiff cannot state a claim.” (Cantu v. Resolution Trust Corp. (1992) 4 Cal.App.4th 857, 889.) The burden is on the complainant to show the Court that a pleading can be amended successfully. (Goodman v. Kennedy (1976) 18 Cal.3d 335, 348.)

DISCUSSION

Ford

demurs to the Sixth Cause of Action (Fraudulent Inducement – Concealment) only.

A.

Statute of Limitations

Ford's statute of limitations

argument as to the Sixth Cause of Action is premised on the three-year statute of limitations in Code of Civil Procedure section 338. Ford contends that Plaintiff has not pled facts sufficient to establish any tolling doctrine and that allegations related to discovery rule tolling and the delayed discovery rule are conclusory.

Plaintiff argues that he could not have discovered all elements of a fraud by concealment claim until the Engine Defect manifested, he sought repairs, Ford performed repairs, and he discovered that the repairs were ineffective. Plaintiff asserts that the FAC does not affirmatively disclose that this happened outside the statute of limitations period.

Plaintiff's allegations contain

boiler-plate language to invoke equitable tolling, the discovery rule, fraudulent concealment rules, equitable estoppel, the repair rule, and/or class action tolling. (FAC ¶ 33.) Class action tolling does not apply, because Plaintiff only alleges that such a rule exists under "the American Pipe rule" (ibid), without alleging that any applicable class action has been pending. Likewise, there are no allegations related to the repair rule.

Regarding discovery tolling and delayed tolling, Plaintiff has provided a short history of the Subject Vehicle:

.

Around Jan. 12, 2022, Plaintiff presented the Vehicle to Defendant Ford's authorized repair facility due to recall and the repairs involved reprogramming the powertrain control module ("PCM")^[1] and, at pick up, Plaintiff was informed that the Subject Vehicle had been repaired. (FAC ¶ 12.)

.

Around April 18, 2022, Plaintiff presented the

Vehicle to Defendant FORD's authorized repair facility with complaints including a malfunction indicator light, the warranty repairs included replacing the battery control module[2], and at pick up, Plaintiff was informed that the Subject Vehicle had been repaired. (Id. ¶ 13.)

Around July 12, 2022, Plaintiff presented the Subject Vehicle to Ford's authorized repair facility with complaints, including a check engine light, the repairs included replacing the high voltage battery, and, at pick up, Plaintiff was informed that the Subject Vehicle had been repaired. (Id. ¶ 14.)

Around November 1, 2024, Plaintiff presented the Vehicle to Defendant's authorized repair facility, the Subject Vehicle was inspected, the repairs included were reprogramming the PCM, and, at pick up, Plaintiff was informed that the Subject Vehicle had been repaired. (Id. ¶ 15.)

The discovery rule postpones accrual of a cause of action until a plaintiff discovers, or has reason to discover, the cause of action. (Fox v. Ethicon Endo-Surgery, Inc. (2005) 35 Cal.4th 797, 806-07 [discussion of discovery rule and inquiry notice].) To invoke the delayed discovery rule, " 'a plaintiff whose complaint shows on its face that his claim would be barred without the benefit of the discovery rule must specifically plead facts to show (1) the time and manner of discovery and (2) the inability to have made earlier discovery despite reasonable diligence.' " (Id. at 808.) The Delayed Discovery Rule has been applied to be consistent with the policy of the Song-Beverly Warranty Act requiring a reasonable opportunity to repair defective vehicles. (Krieger v. Nick Alexander Imports, Inc. (1991) 234 Cal.App.3d 205, 218.)

Here, by "around July 12, 2022," Plaintiff had brought the Subject Vehicle in for repair three times. This is sufficient to infer that accrual of the cause of action began around July 12, 2022. Three years from July 12, 2022 is July 12, 2025. The Complaint was filed on March 28, 2025. As such, Plaintiff has adequately alleged the delayed discovery rule and the statute of limitations

does not bar the Sixth Cause of Action.

The

Court need not address the remaining tolling doctrines as its analysis above is dispositive of the statute of limitations issue.

B.

Economic Loss Rule

Ford asserts that the Fifth Cause

of Action is barred by the economic loss rule, pursuant to *Dhital v. Nissan North America* (2022) 84 Cal.App.5th 828 (“Dhital”)[3]

as there is no separate and distinct tort from that of Ford’s contractual duties and no injuries were caused outside those that are reasonably calculated by the warranty contract. Ford contends that *Rattagan v. Uber Technologies* (2024) 17 Cal.5th 1 (“Rattagan”) provided limited exceptions that do not apply in this action. Ford asserts that Plaintiff also seeks damages for “consequential and incidental damages” and “diminution in value” and argues that these damages are inherently financial in nature and are what the economic loss rule was designed to protect against.

Plaintiff argues that fraud is separate

and distinct to the warranty contract as it occurred before contract formation.

Plaintiff cites *Dhital* to support Plaintiff’s position. Plaintiff further asserts that the *Rattagan* test is inapplicable and, alternatively, if applied, Plaintiff’s allegations are still sufficient as the scope of the transaction is for the purchase of a vehicle without known material defects, Ford has an independent tort duty to refrain from fraudulent practices in the sale of its vehicles, and fraudulent inducement through concealment is independent of the rights and duties assumed by the parties.

Plaintiff’s claims in the FAC arise

from pre-sale conduct: “Nevertheless, Defendant Ford and its agents have actively concealed the Engine Defect and failed to disclose this defect to Plaintiff at the time of purchase of the Subject Vehicle or thereafter.” (FAC ¶¶ 66.)

The allegations that the concealment

continued after Plaintiff entered into a warranty contract with Ford do not support sustaining of the demurrer. (See *ibid.* [“Plaintiffs

are informed and believe, and based thereon allege, that prior to sale of the Subject Vehicle, Ford knew, or should have known, about the Engine Defect. .

. Nevertheless, Defendant Ford and its agents have actively concealed the Engine Defect and failed to disclose this defect to Plaintiffs at the time of purchase of the Subject Vehicle or thereafter.”].) “A demurrer cannot rightfully be sustained to part of a cause of action or to a particular type of damage or remedy.” (Kong v. City of Hawaiian Gardens Redevelopment Agency (2002) 108 Cal.App.4th 1028, 1047.)

For the reasons explained above, the economic loss rule does not preclude the Sixth Cause of Action (Fraudulent Inducement – Concealment).

C. Facts Sufficient to Constitute a Cause of Action

Ford argues that there is no fiduciary relationship between the parties and, as such, Plaintiff has not set forth facts demonstrating that Ford had a duty to disclose. Ford also argues that Plaintiff has not set forth specific facts demonstrating that Ford had exclusive knowledge that was otherwise undiscoverable by a reasonable consumer at the time of sale as Plaintiff’s allegations concerning Ford’s knowledge are conclusory. And Ford further asserts that allegations regarding specificity such as the time, place, and manner of any purported misrepresentation or suppression of material facts are not alleged.

Plaintiff argues that when claiming fraud through non-disclosure, it is not practical to allege facts showing how, when and by what means something did not happen under California case law. Plaintiff contends that his allegations meet the requirements set out in Dhital and that he has adequately pled in paragraphs 66 through 81 that Ford has exclusive knowledge of the engine defect.

In Dhital, the Court found that the plaintiffs had adequately pled a transactional relationship sufficient to impose a duty on Nissan as the manufacturer to disclose defects about the defective transmission.

At the

pleading stage (and in the absence of a more developed argument by Nissan on this point), we conclude plaintiffs' allegations are sufficient.

Plaintiffs alleged that they bought the car from a Nissan dealership, that Nissan backed the car with an express warranty, and that Nissan's authorized dealerships are its agents for purposes of the sale of Nissan vehicles to consumers. In light of these allegations, we decline to hold plaintiffs' claim is barred on the ground there was no relationship requiring Nissan to disclose known defects.

2

(Id. at p. 844.)

Plaintiff has pled that the dealerships are Ford's agents for the purposes of this vehicle repairs, dealership repair orders, testing related to complaints, and other internal sources of information. (See FAC ¶ 66.)

On review from a motion for summary judgment, the Ninth Circuit in *Daniel v. Ford Motor Co.* (9th Cir. 2015) 806 F.3d 1217 ("Daniel") similarly found that Ford, as a vehicle manufacturer, had a transactional relationship with its customers who purchase their vehicles:

22222222

Plaintiffs

do have evidence that Ford communicates indirectly through its authorized dealerships. Plaintiffs received information about the "characteristics," "benefits," and "quality," Cal. Civ. Code § 1770(a)(5), (7), of the Ford Focus from Ford's dealerships, which is also where they could obtain certain brochures and booklets about Ford's vehicles. Under the terms of Ford's express warranty, Plaintiffs needed to return to Ford dealerships to perform warranty repairs. And it is through its dealership network that Ford circulated its special service messages and technical service bulletins when issues arose with the Focus. Based on this evidence, a reasonable fact finder could conclude that Ford knew that its consumers depended at least in part on its authorized dealerships for information about its vehicles and that Ford's authorized dealerships would have disclosed the alleged rear suspension defect to consumers if Ford had required it.


~~~~~

(Id. at p. 1227.)~~~~~

~~~

Similarly, in *Bader v. Johnson & Johnson* (2022) 86 Cal.App.5th 1094, the Court found that the jury instruction imposing liability on the manufacturer was proper because “[t]here was also evidence showing that J&J was involved in retail sales of JBP to consumers and profited therefrom.” (Id. at p. 1132.) “A proper instruction under *Bigler-Engler* thus would have instructed the jury here to consider whether similar evidence of transactions, advertising, or J&J’s direct monetary benefit supported the transactional requirement.” (Ibid.) “On this record, J&J cannot show it is reasonably probable the jury would have found for J&J had it been instructed under *Bigler-Engler* that it had to find a transaction between J&J and Schmitz or her parents.” (Ibid.)~~~

~~

Here, the Complaint alleges that Ford manufactured and/or disturbed the Subject Vehicle. (FAC ¶ 7.) “At all times relevant herein, Ford was engaged in the business of designing, manufacturing, constructing, assembling, marketing, distributing, and selling automobiles and other motor vehicles and motor vehicle components[.]” (Id. ¶ 4.) Defendant’s marketing materials concerning the is what induced Plaintiff to purchase the Subject Vehicle. (Id. ¶¶ 10, 81.) Ford committed fraud by allowing the Subject Vehicle to be sold to Plaintiff without disclosing that the Subject Vehicle was equipped with the 5.3L defective engine (Id. ¶¶ 66, 76-77, 80, 83.) “[B]efore Plaintiff purchased the Subject Vehicle, Defendant Ford knew about the Engine Defect through sources not available to consumers, including pre-release testing data, early consumer complaints about the engine defects to Ford and its dealers, testing conducted in response to those complaints, failure rates and replacement part sales data, aggregate data from GM dealers, among other internal sources of aggregate information about the problem.” (Id. ¶ 72.)

Dhital, Daniel, and Bader support the proposition that a vehicle manufacturer can have a transactional relationship

with its vehicle purchasers sufficient to give rise to the duty to disclose.

Moreover, the facts are sufficient to show that Ford was involved in the marketing and sale of the Subject Vehicle sufficient to support the existence of a transactional relationship between Ford and Plaintiff.

Moreover, the above allegations relate to Ford's pre-sale conduct that preceded the warranty contract.

Conclusion

For the reasons explained above, defendant Ford Motor Company's Demurrer to the Sixth Cause of Action in Plaintiff Roben Olmedo's First Amended Complaint is overruled. Defendant Ford Motor Company is to file an Answer within ten days of this Ruling. The Court continues the Case Management Conference to _____, 2026, at 8:30AM, and sets an Order to show Cause Re: Answer as to Ford and as to Sunland for the same date and time.

Date: _____

William

E. Weinberger

Judge,

Los Angeles Superior Court

[1]

The engine is part of the powertrain as described in the warranty attached to the FAC as Exh. A. (Exh. A at pp. 11, 21.)

[2]

The battery control module and battery is stated to be a part of the electrical drivetrain system as explained in Exhibit A. (See Exh. A pp. 11-12.) The manual also states that the car is either a hybrid or electric vehicle. (See Exh. A at p. 1.) The Court is not privy to the interplay between the engine and the battery in hybrid or electric vehicles. As Plaintiff has suggested these repair allegations to be specific to the engine defect alleged, the Court treats them as such.

[3]

Dhital, at one point, was in question by Supreme Court and review was granted. The review was subsequently dismissed on December 18, 2024, effectively affirming the holding of Dhital for present purposes.